AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

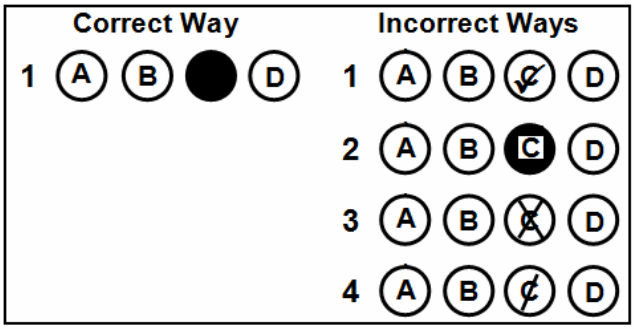
MAY 2014

Business Studies Paper I

Time: 35 minutes Marks: 25

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. All those businesses that set ‘profit maximization’ as the most common objective belong to the

   A. public sector of the economy.
   B. private sector of the economy.
   C. non-governmental organizations of the economy.
   D. charities and voluntary organizations of the economy.

2. All of the following are private sector businesses EXCEPT

   A. partnerships.
   B. public corporations.
   C. private limited companies.
   D. public limited companies.

3. Which of the following could be the most important objective of a recently set up small size business?

   A. Profit
   B. Growth
   C. Survival
   D. Market share

4. Most governments have the following economic objectives EXCEPT

   A. high deflation.
   B. high level of employment.
   C. sustainable economic growth.
   D. favourable balance of payment.

5. A small business which is just initiated will probably look for

   A. mergers.
   B. takeovers.
   C. internal growth.
   D. external growth.

6. A business that manufactures goods or provides services to an individual customer’s order might be using

   A. job production.
   B. lean production.
   C. mass production.
   D. batch production.

7. Rashid Shoe Company makes shoes in Pakistan. The following table shows the production levels of a year. What will be the productivity per worker?

Particulars	2013
Shoes made	280,000
Number of employees	125

   A. 2.5
   B. 4.5
   C. 224
   D. 2240

8. The term ‘lead time’ means the time taken

   A. for ordered goods to be delivered.
   B. to deliver goods from the firm to the consumer.
   C. to produce goods after the raw materials arrive.
   D. for inventories to fall from maximum levels to the reorder level.

9. Which of the following is a non-financial motivator?

   A. Time rate
   B. Commission
   C. Fringe benefits
   D. Share ownership

10. Which of the following is an advantage of delegation for the manager?

   A. Managers can focus on key tasks.
   B. Managers are more likely to make mistakes.
   C. Managers lose some of their responsibilities.
   D. Managers cannot measure the success of their staff easily.

11. According to Herzberg, which of the following combinations represents the two features of motivation and hygiene?

A.	Achievement	Status
B.	Working conditions	Relationship with sub-ordinates
C.	Personal growth	Personal development
D.	Physiological needs	Social needs

12. Collective bargaining involves negotiations between

   A. different employers.
   B. employers and union representatives.
   C. individual workers and their employers.
   D. employers and government representatives.

13. Which of the following is an advantage of short chain of command?

   A. Span of control tends to be narrower
   B. Communication tends to be inaccurate
   C. Communication between the management and staff is slow
   D. There are fewer layers of management to share responsibilities

14. A business needs finance for the following reasons EXCEPT to

   A. replace old capital goods.
   B. pay for the start-up costs.
   C. operate i.e. to buy materials.
   D. increase prices of its products.

15. Which of the following is NOT a source of finance for a partnership?

A. Grants and subsidies
B. Bank loans or mortgages
C. Shares sold to shareholders
D. Personal funds of the partners

16. An example of a cash inflow for a business is

A. wages paid to workers.
B. cash from sale of assets.
C. interest payments to bank.
D. advertisement payments.

17. Feroz has produced the following cash flow forecast for the next year.

	January	**February**
Opening balance	0	70
Cash in	800	770
Cash out	730	?
Closing balance	70	140

What will be the value of cash outflow for February?

A. 40
B. 180
C. 700
D. 660

18. In which phase of a product, life cycle sales rise quickly?

A. Growth
B. Maturity
C. Saturation
D. Introduction

19. Which of the following is a step of secondary research?

A. Samples
B. Interviews
C. Observation
D. Sales reports

20. Which of the following is NOT the characteristic of MNCs?

A. The parent company works like a holding company.
B. The MNCs operate in a single country with multiple products on large scale.
C. The MNCs are quality and cost conscious and managed by professionals and experts.
D. The MNCs do not take much interest in the social welfare activities of the host country.

21. Mr. Abid has recently been promoted to the position of a General Manager in the Human Resource Department. His ability to put ideas and messages across the organization clearly has played a major role in his success. Which trait does this ability refer to?

    A. Intelligence
    B. Self-confidence
    C. Enthusiasm
    D. Good and effective communication skills

22. Determining the number of workers that will be required five years from now and identifying the skills they will need is a part of

    A. dismissal policy.
    B. workforce planning.
    C. union agreements.
    D. negotiation.

23. The ‘structure in an organization’ which allows instructions to be passed down from senior management to lower levels of management is known as

    A. chain of command.
    B. span of control.
    C. delegation.
    D. job specification.

24. A company sells 100 chairs at a price of $50 per chair. The cost of producing one chair is $40. What profit does the company earn?

    A. $500
    B. $1,000
    C. $5,000
    D. $9,000

25. Which of the following is NOT a part of globalization?

    A. Increasing reliance on other countries for business growth
    B. Free trade agreements
    C. Improving trade links and communication systems
    D. Discouraging trade between countries

END OF PAPER

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